

Texas WIC Health and Human Services Commission

Effective June 1, 2026

Policy No. AC:18.0

Allowable Costs – Facility Renovation

Purpose

To allow local agencies (LAs) to use WIC funding for facility renovations or repairs considered capital expenditures when necessary to accommodate all phases of the WIC Program.

Authority

[Food and Nutrition Services \(FNS\) Instruction 813-1](#), [Texas Grant Management Standards \(TxGMS\)](#), [2 CFR 200.439](#)

Policy

LAs may request reimbursement for the cost of facility renovation if prior written approval has been obtained from the State Agency (SA).

Definitions

Renovation or Repair – Work done to fix or update equipment or a building, including larger scale improvements or upgrades, that permanently increase the value or useful life of the item. Also known as a capital improvement, a capital expenditure is a cost over \$10,000 for an asset with a useful life of more than one year

Procedures

I. Approval Requests

1. The Local Agency must submit an approval request to the State Agency for renovation and repair requests over \$10,000. Purchases under \$10,000 do not require SA approval.
2. The following information shall be submitted in writing to the SA for approval:
 - a. A detailed description of work to be done;
 - b. bids from at least three vendors if available;

Texas WIC Health and Human Services Commission

Effective June 1, 2026

Policy No. AC:18.0

- c. justification of best value if the low bid is not acceptable;
 - d. justification of need for renovations, to include benefit to participants;
 - e. an allocation method of how costs shall be allocated among programs (if applicable) and amount to be allocated to each program/activity;
 - f. a statement from landlord or parent agency that WIC may remain in the space until the WIC program has received full benefits from the renovation based on full depreciation of the capital improvement. If WIC vacates the facility/space before renovation is fully depreciated, then the undepreciated value of the renovation/repair will be paid back to the WIC program;
 - i. Note: Depreciation schedules should follow Parent Agency policies or the Texas Comptroller depreciation schedule, with leasehold improvements allowed to follow a 10-year depreciation schedule or the Parent Agency policy.
 - g. a completed Exhibit B to FNS Instruction 813-1 (A copy may be obtained at [FNS Instruction 813](#) or from the SA); and
 - h. an assurance that the procurement process is in compliance with [TxGMS](#) and WIC policies.
- II. The SA shall review and submit the request to the United States Department of Agriculture (USDA) Southwest Regional Office (SWRO) for final action.
- III. The SA shall forward USDA's decision to the LA in writing.
- IV. Documentation shall support the allocation among Administration, Nutrition Education, and Breastfeeding.
- V. If the repair involves purchase of materials only, refer to policy [AC:07.0 – Property Management](#).

Texas WIC Health and Human Services Commission

Effective June 1, 2026

Policy No. AC:18.0

-
- VI. Renovation costs shall be supported by documentation such as approval letter from SA, copies of bids, statement or invoice from vendor, and proof of payment.
- A. These costs shall be billed in accordance with policy [AC:28.0 – Financial Reporting](#).